

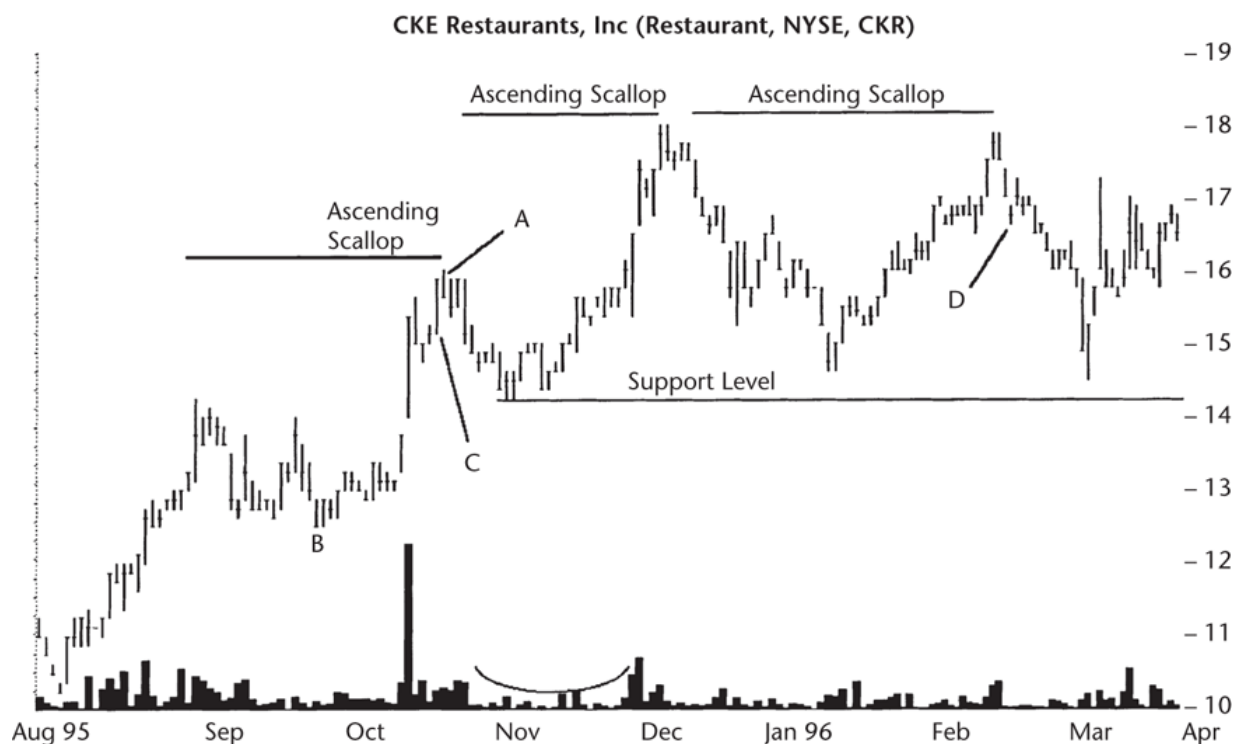


Figure 57.5 Three consecutive ascending scallops. As described in the Sample Trade, Kristy bought the stock at point C once price rose above the top of the ascending scallop. The last scallop has a V-shaped bowl and a right rim that almost makes it to the high of the left side. She sold at point D.

“What you're saying is that you're either lousy at estimating how far price is going to move or you hold on longer than expected.”

I shrugged. “Does anyone really know how far price will rise or fall? Tell me more about your trade.”

She felt gratified when price closed at the high for the day, suggesting price the following day would move higher still. When she looked at the stock the next day, price *did* reach a new high but closed lower.

Over the next two weeks, as she posted her daily quotes for the stock, the declining price trend worried her, but not unduly so. Kristy recognized the rounding turn of another scallop forming and saw that her stop held.

Day by day she followed the stock and did not like the third scallop in the series (the rightmost one). The bowl shape was irregular with an unconvincing volume pattern. When price stopped at the old high before